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Barnes & Noble: Managing the E-Book Revolution

Once a thriving, pioneering big-box retailer, Barnes & Noble had seen its industry fundamentally altered by technological innovation, first by the rise of online retail and now by the advent of electronic books (e-books). While the company had outlasted its longtime competitor, Borders, by 2011 it had admitted that the physical book sales market was shrinking (see **Exhibit 1** for U.S. book sales) and announced it was open to the possibility of being acquired. In January 2012, Barnes & Noble divulged its expectation of even deeper losses than Wall Street analysts had projected, sending its stock down 17% in a single day[1] and continuing the downward trajectory of the company's market capitalization (see **Exhibit 2** for Barnes and Nobles' market cap by year).

Amid this onrush of technology, Barnes & Noble found itself in a strange world not of its own making. Within the e-book space, the company now had to grapple with the concept of e-book formatting, which could make a book usable across multiple devices or locked into a single one, and with digital rights management (DRM), which could help prevent piracy. The e-book category brought with it new, dedicated digital devices with which to read the books, but which also begged the question as to whether dedicated devices would be a temporary phenomenon as readers could instead opt for multi-function devices such as laptops and tablets. In addition, pricing had become an issue: as the unit cost of an e-book was effectively zero, retailers might profitably sell them at prices far below what physical books typically cost. This caused consternation among publishers and a government investigation of alleged price fixing. Finally, Barnes & Noble stood in an unfamiliar competitive space, faced with competitors that it could not have dreamed of when it was founded in 1917. Amazon had risen to become a major force; its Kindle e-book device was one of the catalysts behind the rise of e-books and held a substantial market share advantage over others, including Barnes & Noble's Nook. In addition to Amazon, other major technology companies such as Adobe, Apple, and Google were now likewise involved in the publishing industry with attractive offerings that could entice Barnes & Noble's customers.

Not all hope was lost, however. Publishing companies had halted Amazon's march to e-book dominance, at least temporarily, by instituting the "agency model," which enabled publishers to set book prices. Barnes & Noble had increased its own tech savvy by hiring William Lynch, previously of technology-focused company IAC/InterActiveCorp, as CEO. It had recently announced a major

[1] Julie Bosman, "The Bookstore's Last Stand," *New York Times*, January 28, 2012.

Professor Alan MacCormack and independent researcher Brian Kimball Dunn and University of Pittsburgh Professor Chris F. Kemerer prepared this case. This case was developed from published sources. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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investment from Microsoft, which could solidify its position and access to capital. Further, many of the traditional publishing industry's stakeholders were in Barnes & Noble's corner, viewing Amazon, which was considering becoming a publisher in its own right, as the enemy against which only Barnes & Noble could stand. As Macmillan CEO John Sargent put it, "Anybody who is an author, a publisher, or makes their living from distributing intellectual property in book form is badly hurt if Barnes & Noble does not prosper."[2]

That prosperity would depend on answering a number of questions. Could Barnes & Noble run its retail chain effectively while simultaneously adapting to the technological needs of the market, or should it consider splitting itself along digital and traditional lines? Was it sensible to continue pursuing a proprietary product strategy or did it need more technology allies to succeed? And how should the company best allocate resources to fend off a variety of aggressive competitors?

Barnes & Noble History

Founded as a book printing company in Wheaton, Illinois, in 1873, Barnes & Noble opened its first bookstore, located in what is now the Flatiron district of New York City, in 1917.[3] While the company and its original store survived for decades, by 1974 it had fallen on hard times and was acquired by Leonard Riggio, a former New York University student who had himself started a bookseller aimed at college students, which had grown to six locations.[4]

In 1975, the company became the first bookseller to regularly discount books; in 1987, it attained national player status when it bought the then second-largest book retailer in the country, B. Dalton, which had 798 locations at the time. Concurrently, the company was developing its concept of the book super-store, opening a number of locations during the 1980s and 1990s.[5] In 1993, the company seized on the burgeoning coffee craze in the U.S. by opening its first location with an in-store Starbucks café.[6] When the company's stock went public in 1993, it ended its first day of trading at $29.25, well above the anticipated opening price of $17,[7] and by 1996, Barnes & Noble was the world's largest bookstore, with annual sales of $2.5 billion and operating about 1,000 stores.[8]

However, as adoption of the Internet started spreading among the general public in the mid to late 1990s, the company faced a new challenge. While Barnes & Noble had established its leadership in the traditional book retailing world, many thought retail would begin moving from physical stores into the web-based environment where commerce would be "frictionless"—i.e., where costs and prices would be driven down by information availability and the eliminated need for in-store shelf space. Pioneering start-up firms tested these frictionless waters. One such pioneer, Amazon.com,

[2] Ibid.

[3] "Barnes & Noble Timeline," TheStreet.com, http://www.thestreet.com/stock-market-news/10833790/barnes-noble-timeline-a-page-by-page-history.html, accessed May 11, 2012.

[4] Barnes & Noble, "Barnes & Noble History," http://www.barnesandnobleinc.com/ our_company/history/bn_history.html, accessed May 11, 2012.

[5] Ibid.

[6] "Barnes & Noble Timeline," TheStreet.com.

[7] Ibid.

[8] Tim Clark, "Barnes & Noble launches book site," CNET, May 13, 1997.

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launched its book-selling website in 1995. In its first year and a half, Amazon grew from 11 employees to 151 and made over $16 million in sales.[9]

While online book sales were still a small business—an analyst for PaineWebber estimated they accounted for less than 1% of the overall book sales market in 1997[10]—Barnes & Noble saw the potential and took action. In early 1997, it opened a store on America Online, which at the time was not only the largest Internet service provider in the world,[11] but also hosted a much-trafficked information hub. Later in the year, Barnes & Noble also launched its own, separate online store, where it offered author chat sessions, book reviews, and 400,000 book titles, even more books than Amazon made available.[12] The company further bolstered its online offering by agreeing with search engine Lycos to have its product listings appear among the Lycos search results (Amazon had signed agreements with Yahoo! and Excite) and working a deal with the *New York Times* to become its exclusive online bookstore.

At the time, Barnes & Noble's aggressive moves online raised some eyebrows. Allen Weiner, an analyst with research firm Dataquest, said that Barnes & Noble was "out of their minds" and that the company "has not a clue as to what Internet commerce is all about." He suggested that Barnes & Noble's online sales would merely cannibalize in-store sales.[13] Barnes & Noble's approach to the Web stood in stark contrast to that taken by the company's chief offline rival, Borders. Borders launched its own online bookstore in 1997, but, after four years of losses, opted to close it down in 2001 in favor of a partnership with Amazon in which Borders collected a commission on referred sales.[14] As the online bookstore competition played out, Barnes & Noble's website grew to become the second-largest bookseller on the Internet. Technological advances, however, had not yet finished reshaping the book-retailing world.

The E-Book Industry

Early Years

Even as the Internet was still in its rapid growth phase, the idea of electronic books was gaining popularity. Dedicated e-book readers were on the market as early as the late 1990s. Heavyweight technology firms like Adobe and Microsoft were investing in the industry's future, and the consuming public was already warming to the idea of downloading digital content in the form of MP3 music files. From 2002 to 2005, e-book sales grew from $5.8 million to $10.8 million, a compound annual growth rate of 23%. During this time, a number of small, privately held firms were working to build their reputations in the industry; startups like Fictionwise and Peanut Press sold e-books in a variety of formats such as Microsoft Reader and Adobe's Portable Document Format (PDF) as well as in emerging formats like Mobipocket and Open eBook. These books could be read on personal computers (PCs) and personal digital assistants (PDAs) through a variety of software options.

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[9] Suzanne Galante and Anthony Lazarus, "Amazon.com to grow with IPO," CNET, March 24, 1997.

[10] Ibid.

[11] "In search of the mouse potato," *The Economist*, April 17, 1997.

[12] Clark, "Barnes & Noble launches book site."

[13] George Mannes, "B&N Inks Deal To Let Lycos Be Its Guide," *New York Daily News*, August 21, 1997.

[14] Saul Hansell, "Technology Briefing: E-Commerce; Borders Confirms Amazon Deal," *New York Times*, April 12, 2001.

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Still, these early industry participants had to confront several challenges that were absent in the digital music revolution. One of these was that available e-book reading platforms were in many ways suboptimal. Reading on computer screens was generally considered uncomfortable; medical science held that prolonged reading on such light-emitting displays caused eyestrain and dry eyes. Handheld PDAs (e.g., the Palm Pilot) and cell phones were easily portable, but had small, low-resolution screens that could display only a limited amount of text. According to web usability expert Jakob Nielsen, screen resolutions of the day weren't good enough to be used for prolonged reading and resulted in average user reading speeds that were 25% lower in comparison to reading from paper.[15]

Beyond that, with advances in PDA and cell phone technologies occurring at a rapid pace, platform dependence was a concern. Books purchased to be read on a Palm PDA, for instance, might be fine for as long as that device was still in use. However, if the next generation of Palm devices made the previous generation obsolete, would the e-books purchased for the older device become worthless?

The conflicting set of e-book format standards presented a further challenge. PDF had become the standard file format for online brochures, white papers, and instruction manuals, but there were still competing standards for retail e-books, where Mobipocket, eReader, and other formats were competing for attention. Consumers seeing this battle might have preferred to stay on the sidelines rather than begin building their libraries in a format that might not win the fight.

This problem might have been exacerbated by the profiles of the companies backing these standards. The Mobipocket format was owned by a small, privately held French company. The eReader format belonged to Peanut Press, another small company. In other nascent technology industries, such small firms had found great success. Consider that Larry Page and Sergey Brin launched Google as a side project while working as graduate students; online auctioneer eBay got started as an offshoot of programmer Pierre Omidyar's personal website. But there were also examples, no doubt including many that remain unknown, where small firms with early products failed to beat bigger, better-funded, better-positioned competition (e.g., Netscape losing the early Internet browser standards war to Microsoft).

There was also the challenge of publishers' reluctance to make e-books available. E-book retailers in the early 2000s found it difficult to convince publishers to make their content available for digitization. John Siracusa, an information technology professional who worked for start-up Peanut Press during the late 1990s and early 2000s, reflected:

> Early on, publishers saw what happened to the music business when Napster arrived on the scene, and they were shaken to the core. In fact, some of the very same executives, casualties of the digital music wars, ended up at publishing houses, arriving with the digital equivalent of PTSD [post-traumatic stress disorder] and harrowing tales of a business model's collapse.[16]

Napster, the networked song-sharing apparatus that enabled widespread music piracy, was in full swing in 2000. Lawsuits against Napster and the "citizen pirates" who had used it to share their digital music libraries had damaged public perceptions of both the recording industry and some of the more outspoken artists. The most notorious of these cases involved heavy metal band Metallica,

[15] Janelle Brown, "Look ma, no ink," *Salon*, August 30, 1998.

[16] John Siracusa, "The once and future e-book: on reading in the digital age," *Ars Technica*, February 2, 2009.

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which famously sued Napster, caused thousands of Napster user accounts to be suspended, and brought suit against major universities across whose networks the band's songs had been downloaded. Fans and colleagues were outraged that the band and its label would take action against its fans. As Mötley Crüe bassist Nikki Sixx put it, "They're ----ing their fans, and I think it's ---ed."[17]

Demographics may also have played a role in the slow growth of the e-book market. A 2002 survey found that Americans in the 18-to-24 age group were less likely to have read a book in the past year than any other age group under age 75.[18] This was the same group that adopted digitized music early on; without it to serve as the vanguard, firms would be forced to rely on older, less tech-savvy consumers to be their early adopters.

Electronic Paper and Sony

While the early part of the decade saw the e-book industry struggle to find a foothold, a breakthrough occurred in 2004 when Sony released the LIBRIé EBR-1000EP reader in Japan. What made this product revolutionary wasn't its computing power, but its first-of-its-kind use of an "electronic paper" display. Electronic paper had been invented in the 1970s at Xerox's famed Palo Alto Research Center as a way to resolve the problems inherent in reading from light-emitting displays. Like ordinary paper, electronic paper reflected light, rather than emitting it, removing the primary cause of eyestrain and creating an electronic display that could be viewed easily in full sunlight. Sony's new product used a type of electronic paper developed jointly with Philips and e-Ink Corp.

While this initial Japan-only product was not particularly successful, it paved the way for Sony to bring the first electronic paper-based e-book reader device to the U.S. In 2006, Sony released the PRS-500, which had a six-inch grayscale screen and a lithium-ion battery that Sony claimed would yield 7,500 "page-turns" per charge. Upon introducing the device, Sony opened its own online e-bookstore. The store sold books primarily in the Broadband E-Book Format (BBeB), a proprietary format that it had developed along with Canon. Owners of the new device needed to buy books on their PCs over the Internet and then download them onto the device.

Amazon Kindles an Industry

Sony had the U.S. e-book reader market virtually to itself for a year. During this time, the company began engaging with publishing houses to expand the availability of selections through its e-bookstore. In November 2007, however, Sony's exclusivity ended with Amazon's release of the Kindle reading device. Before the release of the Kindle, Amazon had grown from "the world's largest bookstore" to a purveyor of nearly everything, selling clothing, electronics, furniture, digital music, etc., as well as acting as an agent for third-party retailers wanting access to Amazon's customer base. One thing it had not done before the Kindle, though, was market its own branded consumer electronics device.

Teaming with FoxConn, the Taiwanese manufacturer that had built many of Apple's recent products, Amazon began delivering Kindles in time for the 2007 holiday season. Kindle was, in some ways, similar to Sony's Reader; both had six-inch screens and both used electronic paper technology. The Kindle, however, had some major differentiating factors: it included a full QWERTY keyboard

[17] Richard B. Simon, "Metallica's Anti-Napster Crusade Inspires Backlash," MTV.com, June 1, 2000.

[18] National Endowment for the Arts, "Reading at Risk: A Survey of Literary Reading in America," 2004.

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that facilitated in-text search, it used Amazon's new, proprietary Kindle book format, and it allowed owners to download books "over the air" using Amazon's Whispernet cellular network. With this functionality, users could purchase books without a PC by using their existing Amazon accounts and connecting wirelessly through the device, enabling purchases from almost anywhere. A customer could learn about a book while sitting by the pool on vacation, then buy and start reading it almost immediately. Further, Amazon's existing relationships with publishers enabled it to offer a catalog of e-book titles in the Kindle format that was larger than the one available through Sony.

The original Kindle was offered at the same $399 price point as the Sony. However, Amazon sold Kindle-formatted books at a substantial discount compared to physical books; most new books sold for $9.99 as Kindle versions compared to the $26 average retail hardback price.[19] With reviewers calling the new device superior to the Sony,[20] the Kindle was an instant hit. Forrester Research estimated that Amazon had sold 2.5 million units of the device by the end of 2009, good for a 55% share in the e-book reader market,[21] and the company itself announced that during the holiday season, it had sold more e-books than hardcovers.[22] Fueled by the Kindle, the overall e-book market was growing rapidly (see **Exhibit 3** for wholesale e-book revenue). Amazon's stock ended 2009 trading at three times its January price.

This apparent success, however, raised concerns among book publishers. Major publishing houses were well aware of how digital music had affected the recording industry. In the 10 years from 1999 to 2008, U.S. music sales had dropped from $14.6 billion to $9 billion,[23] a 38% decline. With 2005 estimated revenues of $22.9 billion,[24] publishers had a sizable cash cow to defend. Despite the almost nonexistent unit cost of an e-book, Amazon was buying e-book units at the same wholesale prices as physical books. A hardcover best seller would usually wholesale for $12; for the Kindle version, Amazon would sell this book for $9.99 and take the $2.01 loss.[25] While book publishers were still netting the same revenue per book sold through wholesale regardless of whether it was electronic or physical, they feared what might happen if the public began perceiving $9.99 as the "right price" for a new-release hardcover book.

Formats and DRM

As Amazon sales soared following the release of its second-generation Kindle in 2009, concerns among industry observers began to mount around two interrelated issues: format standards and digital rights management (DRM).

In the e-book world, a "format" was the same as in computing (i.e., a "file format"); it referred to the way a piece of content (e.g., a novel, photo, or spreadsheet) was digitally encoded into an electronic file. To read a particular file format, a user needed software capable of interpreting the format. DRM referred to any of a number of systems by which a content owner could restrict third-party access to owned content. DRM could be an integral part of a file format or DRM functionality

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[19] Motoko Rich, "Steal This Book (for $9.99)," *New York Times*, May 16, 2009.

[20] "CNET Editors' Review, Amazon Kindle," CNET, November 20, 2007.

[21] Phil Wahba, "Amazon Could Pay for Kindle Sales Coyness," Reuters, December 31, 2009.

[22] Dylan Tweney, "Amazon Sells More E-Books Than Hardcovers," *Wired*, July 19, 2010.

[23] International Federation of the Recording Industry; sales figure includes both physical and digital media sales.

[24] Association of American Publishers, http://www.publishers.org/main/IndustryStats/indStats_02.htm.

[25] Rory Maher and Henry Blodget, "Kindle Fantasies are Running Wild—But, for Now, Amazon Is Losing Its Shirt," *Business Insider*, November 20, 2009.

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could be added to formats that permitted it. Content with DRM could be restricted in a number of ways; for example, a piece of content might only be readable on devices registered to the same individual to whom the content was registered.

With the introduction of the new devices from Sony and Amazon, two new e-book formats came into the market. While formats like Mobipocket and eReader had previously vied for format dominance, now BBeB and Kindle formats were beginning to propagate, creating a further diffusion of non-interoperable would-be standards (see **Exhibit 4** for a comparison of format compatibility).

In August 2009, the International Digital Publishing Forum (DPF), makers of the Open eBook standard, released a new version of OEB called "ePub." Like OEB, ePub included tools to allow a DRM scheme to be layered on top of book content. While this new version was, again like OEB, "agnostic" (i.e., it was an open standard and not proprietary to a commercial enterprise), it was not a standard supported by the increasing Kindle user base.

The Kindle DRM in particular caused concern among many observers. Kindle DRM allowed purchased books to be shared over six different devices, but each device had to be registered to the Kindle account that had purchased the content. This limited the "ownership" of the e-books and made it impossible for a rightful "owner" of an e-book to resell the book or offer it as a gift. Furthermore, if a consumer decided to switch from using the Kindle to using the Sony Reader, there was no simple or legal way to transfer Kindle content purchases. While nearly all retail e-book formats included similar DRM restrictions, the combination of DRM, Amazon's perceived e-book market power, and the proprietary nature of the Kindle format produced some outspoken critics. Among these was *BoingBoing* writer and novelist Corey Doctorow, who told *Wired* magazine:

> Either Amazon will succeed in locking people in, at which point it will become a kind of mash-up of the worst elements of the Recording Industry Association of America, Microsoft, and the Mafia, or they'll fail. . . . There is no future in which we have a happy, peaceful literary marketplace dominated by a single proprietary format owned by a single company.[26]

In July 2009, evidence of Doctorow's fearful prognostication came to light as news surfaced of Amazon forcibly deleting some purchased books from users' Kindle devices. The company had discovered that it had inadvertently sold unauthorized versions of books to some of its customers. Amazon apologized for the deletions and provided new versions of the same titles to owners; however, the incident led the larger e-book-reading public to wonder what it meant to "own" an e-book.[27]

Amazon contended its practices were reasonable. In an interview with *Wired*, company spokesperson Cinthia Portugal said, "Amazon is agnostic when it comes to DRM with e-books. We give content owners a choice—we just want to make the content available to readers." Portugal also addressed concerns about the company's proprietary format, saying that Amazon was amenable to the idea of switching to an open format, but that the Kindle format was the only one that could deliver a "seamless customer experience" for Kindle device owners.[28]

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[26] Chris Snyder, "Amazon's E-Book Strategy Re-Kindles Debate on Open Standards," *Wired*, February 25, 2009.

[27] Ironically, George Orwell's *1984* and *Animal Farm*, both of which deal with issues of history revision and abused rights, were among the titles deleted. Brad Stone, "Amazon Erases Orwell Books from Kindle," *New York Times*, July 17, 2009.

[28] Snyder, "Amazon's E-Book Strategy Re-Kindles Debate on Open Standards."

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Apple and the Agency Model

While Amazon's public comments and DRM compliance aimed to placate publishers, the Kindle's growing market dominance and continued aggressive pricing caused considerable nervousness. As such, when Apple approached publishers with a new e-books product and a publisher-friendly approach to pricing e-books, the industry was willing to listen.

Apple had undergone a significant transition of its own. Considered near death in the late 1990s, Apple had since brought to market a series of successful products and innovations. Prominent among these was Apple's introduction of the first broadly successful e-music player, the iPod, which sold over 27 million units in its first five years.[29] This success was driven in part by the iTunes store, which gave consumers an alternative to illegally downloading songs and offered record companies a means to sell digital content online. By 2010, Apple had sold over 10 billion songs and grown its share to over 28% of the overall U.S. retail music market.[30]

When Apple followed the success of the iPod with the release of the iPhone, the company again followed a similar strategy. Not only did Apple seek to earn profits on the sale of the phone itself, but also through the sale of applications through the App Store. Apple made the App Store the sole source of applications for the device; further, it encouraged companies to develop iPhone apps by allowing developers to set the sales price and taking only a 30% commission (i.e., developers received 70% of the sales price from Apple).

In 2010, Apple released what it considered a new category of device positioned between the smart phone and the traditional laptop: the iPad. The company also announced that it would soon open its own online bookstore for use with the iPad, which would sell books in the ePub format with an Apple-owned DRM scheme ("Apple ePub"). Books would be sold exclusively through Apple's iBookstore.

The multi-purpose nature of the iPad separated it from the e-readers available at that time, but not everyone thought highly of its chances as an e-book reader. As Therese Poletti, in an article for *Market Watch*, pointed out,

> To get [an iPad] that will work on a wireless network, a customer has to shell out at least $629 up front and $30 a month for unlimited data—putting the total cost of the iPad above $1,300 for a two-year period. Given that Apple is hoping to take share from the Amazon Kindle, which can be had for a comparatively cheap $259 with no monthly charges, the iPad may be a tough sell to reading fans.[31]

The iBookstore launched with about 90,000 book titles available (including 30,000 out-of-copyright books available at no cost). At that time, Amazon had about 450,000 book titles available. However, Apple had an appeal to book publishers that Amazon did not: a new compensation plan called the agency model. The agency model was essentially the same idea that Apple had used at its App Store. Apple would serve as a sort of consignment agency, selling publishers' e-books and keeping a percentage of the proceeds (usually 30%). In exchange, publishers would, within guidelines, be able to set the price at which Apple would sell their books. Most new-release hardcover books would be

[29] Apple Inc. press release, "Apple Reports Fourth Quarter Results," October 11, 2005.

[30] NPD Group, "Amazon Ties Wal-Mart as Second-Ranked US Music Retailer, Behind Industry Leader iTunes," May 26, 2010.

[31] Therese Poletti, "Apple's iPad is catchy, but may face difficulties," *MarketWatch*, January 28, 2010.

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priced at $14.99, 50% higher than the $9.99 target price Amazon had set. Presented with this opportunity to influence pricing, publishers agreed.[32]

This new agreement and the partnership with a company of Apple's reach emboldened publishers to readdress their e-book sales arrangements with Amazon. In January 2010, Macmillan, one of the U.S. market's "big six" publishers, gave Amazon an ultimatum: either Macmillan would withhold release of e-books to Amazon until several months after a title's hardcover release or Amazon would submit to the same terms that Apple proposed. Amazon responded by pulling all Macmillan titles, both e-books and physical, from its website. While it appeared to be a bold move by Amazon, it was only a matter of days before the company had surrendered. In an official statement, Amazon told customers:

> We will have to capitulate and accept Macmillan's terms because Macmillan has a monopoly over their own titles, and we will want to offer them to you even at prices we believe are needlessly high for e-books. Amazon customers will at that point decide for themselves whether they believe it's reasonable to pay $14.99 for a bestselling e-book.[33]

E-Book Agnostics: Adobe and Google

Most of the major players in the e-book market focused on offering customers a "seamless experience." Amazon hoped customers would buy the Kindle device and then buy Kindle-format e-books from Amazon.com to read on their devices; Apple hoped customers would read exclusively Apple ePub-format books bought from the iBookstore; Sony wanted the same. Apple's Steve Jobs considered the approach the best one for consumers: "When selling to users who want their devices to just work, we believe integrated will trump fragmented every time."[34]

That view was not universally held. Adobe Systems had long been involved in digital content formatting and, in the early 2000s, had been one of the biggest proponents of e-books. While those efforts failed initially, they led Adobe to the creation of a DRM scheme, called Adobe Digital Experience Protection Technology (ADEPT), which it could layer on top of the open-source ePub format to create a new Adobe version of the format. ADEPT allowed Adobe to charge content owners for establishing DRM servers, as well as a per-transaction fee.[35] With proprietary formats (e.g., Kindle) gaining steam, independent online booksellers began to carry books in this new "Adobe ePub" format. Adoption of the format was further buoyed when Sony decided to abandon its proprietary BBeB format for Adobe ePub, which would be sold through the Sony bookstore. It looked as though a platform-agnostic e-book format might have arrived.

Meanwhile, Google, which had come to compete with Apple in mobile operating systems with its open-source Android platform, offered another, less integrated avenue: the Google eBookstore (later part of Google Play). Google had scanned 12 million in- and out-of-print books that could be available.[36] The service would enable customers to buy books through Google that would be device-agnostic, making it possible to read books on any e-book reader, smart phone, or similar device. Google eBookstore books would be owned "in the cloud": purchasers' books would remain on

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[32] Dan Brodnitz, "Book Publishers Welcome Apple Pricing, Mixed on iPad Features," PBS.org, February 24, 2010.

[33] Amazon, "Macmillan E-books," Amazon Forum Announcement, January 31, 2010.

[34] Miguel Helft, "Jobs Says Apple's Approach Is Better Than Google's," *New York Times*, October 18, 2010.

[35] Adobe Content Server website, http://www.adobe.com/products/content-server.html, accessed August 8, 2012.

[36] Marjorie Kehe, "Google Editions will enter the e-book race," *Christian Science Monitor*, May 5, 2010.

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Google's servers so that they could be accessed from anywhere. By keeping the purchases in the cloud, even future devices and formats could be accommodated without customers having to rebuy books. Google further announced that Google eBookstore books would be available through third-party resellers such as independent bookstores, with the reseller keeping the majority of the revenue.

The E-Book War

Barnes & Noble's Nook

As public interest in e-books grew and competitors and potential competitors introduced and developed their offerings, Barnes & Noble did not stand idle. In early 2009, just after Amazon introduced the second-generation Kindle, Barnes & Noble took two major actions to get itself into the e-books game. In one of these, the company spent $15.7 million to purchase Fictionwise, the established e-book retailer that owned the eReader format as well as reading applications for smart phones and PCs. The second was to fund a team of engineers in Silicon Valley. There, working behind closed doors at a secret location (the door was unmarked and offices were located in a former bread factory), the team was charged with the assignment of developing an e-book reader.[37] Just eight months later, in time for the 2009 holiday season, Barnes & Noble began selling the Nook. The product was in many ways similar to Amazon's Kindle. Like Amazon, Barnes & Noble sold books through its website in the proprietary eReader format. While the device had the same screen and was the same general size as the Kindle, it differentiated itself with a color navigation panel and the ability to lend e-books to other owners for up to 14 days.

The product received mixed reviews, some of which decried the product's execution; the *New York Times* complained that all of the device's distinguishing features were "fraught with buzz kill footnotes."[38] Despite this, the company announced promising early sales results, asserting that sales were well above plan. In a letter to shareholders written in September 2010, CEO Lynch claimed that the Nook had captured 20% of the e-book reader market.[39] That same letter, however, revealed some serious issues for the company, notably that Barnes & Noble expected the physical book market to contract from $21 billion in 2010 to $19 billion in 2014. Later in 2010, the company closed the last of its B. Dalton–branded stores.[40] An official press release from August of that year talked of "explosive growth" in the company's digital business, but also indicated that its board intended to "evaluate strategic alternatives"—i.e., to pursue possible acquisition.[41]

Price Wars

Barnes & Noble was not the last entrant into the e-book contest. In spring 2010, Borders entered the fray in a different way. Rather than creating an integrated solution as had Barnes & Noble and Amazon, Borders elected to sell a number of different readers from various manufacturers within its stores. Online, the company sold e-books in Adobe ePub format (the company had eventually separated its site from Amazon). In addition, it partnered with a Canadian company, Kobo, to create a reading device. Borders indicated it felt this would help the company build off its strength in

[37] Bosman, "The Bookstore's Last Stand."

[38] David Pogue, "Not Yet the Season for a Nook," *New York Times*, December 9, 2009.

[39] Letter to Shareholders from Barnes & Noble CEO William J. Lynch Jr., September 16, 2010.

[40] "Barnes & Noble Timeline," TheStreet.com.

[41] Barnes & Noble, press release, August 3, 2010.

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retailing; the company's then interim CEO Mike Edwards said, "The idea of going into the hardware business and deploying resources around being cutting edge on technology would make me nervous."[42]

While the new Kobo device itself wasn't groundbreaking—it featured the same basic form factor, screen, and functionality as its rivals at the time—the price *was*. At a time when the lowest-priced Kindle was $289 and the Nook was still going for $259, Borders introduced the Kobo Reader at $149. This new price point forced both Barnes & Noble and Amazon to respond; Barnes & Noble quickly released a Wi-Fi-only Nook selling for $149, while Amazon dropped the price on the Kindle to $189.

In April 2011, Amazon pushed prices down further when the company announced a new low-end, advertising-supported Kindle. Customers could buy a Kindle at a $25 discount in exchange for receiving advertisements on the device; advertisements would appear in screen savers or at the bottom of the display screen. With the new option, Amazon offered its low-end device for $114, making it the lowest priced e-reader of any major competitor.[43]

The Technology Arms Race

In October 2010, Barnes & Noble released NookColor, the first "dedicated" e-book reader with a full-color, back-lit screen. The device offered e-book consumers advantages that had theretofore only been available to iPad owners: for example, books could be read in the dark, children's picture books could be enjoyed on the device, and magazines could be perused in full color. And the NookColor did so for $249, half of the iPad's $499 list price.[44] This new reader did more than read, however; it used Google's Android mobile operating system (OS), which allowed it to extend its functionality to include a selection of other applications—e.g., a Pandora music-streaming app and games like Sudoku and crossword puzzles. While not initially released as a full-featured, Android-based, low-priced tablet, some tech-savvy users were able to "jail break" the NookColor to enable it to run almost any app available for the Android OS.[45] Barnes & Noble later released a software update of its own that enabled similar access.

A year after the release of the NookColor, Amazon came out with a color reader of its own—the Kindle Fire. Unlike the original NookColor, however, the Fire was intended from the start to be more than a reader; it was a full-fledged Android tablet.[46] Costing $199, it was considerably less expensive than other Android-based tablets (e.g., Samsung's Galaxy Tab) and priced much more like an e-book reader. Released at essentially the same time, Barnes & Noble offered the Nook Tablet, an updated version of NookColor.

As the device war escalated into 2012, onlookers noted that the Nook appeared to be holding its own with a 27% market share, but was still significantly behind the Kindle's 60% share.[47] Things had not gone as well for Barnes & Noble's longtime rival, Borders, and its Kobo device. In 2011, Borders

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[42] Phil Wahba, "Borders says best to be open to all devices," Reuters, May 7, 2010.

[43] Amy Martinez, "Amazon.com introduces cheaper, ad-supported Kindle," *Seattle Times*, April 11, 2011.

[44] Antone Gonsalves, "Barnes & Noble Introduces Color Nook," *Information Week*, October 27, 2010.

[45] Hiawatha Bray, "NookColor e-book reader sells itself short," *Boston Globe*, December 2, 2010.

[46] Tim Stevens, "Amazon Kindle Fire review," *Engadget*, November 14, 2011.

[47] Karin Hernandez, "The Barnes & Noble/Microsoft Deal: What's In It for Microsoft?," *Seeking Alpha*, May 8, 2012.

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declared bankruptcy and eventually shuttered all 642[48] of its stores. The *Christian Science Monitor* called the bankruptcy the result of an industry going through "the wringer of technological change" and cited the rise of e-books as a contributing factor.[49] Borders' dissolution even worried some of those who might have been thought to benefit from their demise; Daniel Goldin, owner of an independent local bookstore in Milwaukee, said, "I worry more about the publishing industry. . . . With [Borders] gone, it puts more power in the hands of Amazon. It brings three players down to two."[50]

Policies and Disputes

The heightened competition led Apple to change its policies in a way that affected other e-booksellers. Apple had originally configured the iPad to only allow applications to be added to the device by downloading those applications through the App Store (where Apple would receive a 30% commission on any sales). However, the company had long allowed downloaded apps to facilitate the purchase of additional products (or add-ons to the application) through the Internet. In 2011, Apple decided to start closing this loophole.[51] In February, the company rejected Sony's e-reader app from inclusion on the App Store because the Sony app enabled users to purchase books through the Internet for use with the application. Apple stated that any app that facilitated sales through the web interface also had to facilitate sales through the App Store (where Apple would receive its commission).[52] As a result of Apple's shift, Barnes & Noble and Amazon were both forced to reconfigure their iPad apps so as not to facilitate book purchases.[53]

In April 2012, the U.S. Department of Justice filed suit against Apple and five of the six largest U.S. book publishers, claiming that the agency model was anticompetitive and amounted to price fixing. Central to its suit was the department's claim that Apple had received a "most-favored" clause from the publishers. Within a month, three of the five publishers had agreed to a settlement in which they agreed to terminate any deals with Apple or other sellers of e-books that restricted the retailers' ability to set prices and to avoid making any such agreements for two years.[54] The demise of the agency model was viewed as a major win for Amazon, which announced that it planned to pursue discounting e-book prices as it had before the agency model was instituted. Book publishing analyst Michael Norris commented, "Had [Amazon] been puppeteering this whole play it could not have worked out better for them."[55]

Managing the Revolution

With all the change going on in the industry, in April 2012, Barnes & Noble gained what appeared to be an important ally. Microsoft announced it would invest $300 million in Barnes & Noble's digital

[48] Joseph Checkler and Jeffrey A. Trachtenberg, "Bookseller Borders Begins New Chapter . . . 11," *Wall Street Journal*, February 17, 2011.

[49] Laurent Belsie, "Borders bankruptcy shakes up book industry," *Christian Science Monitor*, February 16, 2011.

[50] Ibid.

[51] Rob Pegoraro, "Apple bans Sony e-reader app; are others next?," *Washington Post*, February 1, 2011.

[52] Ibid.

[53] Alvin Soon, "No More Buying of E-Books from iOS Apps," HardwareZone.com, July 26, 2011.

[54] John P. Mello Jr., "Publisher Settles in E-Book Price Fixing Case," *PC World*, May 18, 2012.

[55] David Streitfeld, "Cut in E-Book Pricing by Amazon Is Set to Shake Rivals," *New York Times*, April 11, 2012.

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and college businesses in exchange for equity[56] and a share of revenue on e-book and other digital content sales.[57] Under the terms of the agreement, Microsoft would include a preloaded Nook application as a part of its soon-to-be-released operating system, Windows 8.

While Microsoft's interest in the Nook boded well for Barnes & Noble, the e-book marketplace remained fraught with uncertainty. Publishers, authors, and bookstores were seeing their long-stable industry turned upside down as shoppers continued to move purchases away from physical paper and retail stores and toward e-books and online. While the Nook's market share was significant, it was dwarfed by Amazon's Kindle, and Amazon appeared to be in more robust financial shape (see **Exhibits 5** through **7** for selected financials of both). At the same time, multi-function devices, such as Apple's iPad as well as an array of smart phones, were challenging books and e-book readers. While the latest tablet-style iteration of the Nook was intended to compete in this space, this was a large and potentially risky step for a company best known for traditional retailing.

As Barnes & Noble's leadership team surveyed the landscape in early 2012, it faced two key strategic decisions that would determine the firm's future path. First, should it continue to operate both brick-and-mortar and digital businesses under the same roof, or spin off the digital business so that it could raise its own capital and make business decisions independently? And, second, did it make sense to continue to fight Amazon by pursuing a proprietary e-book solution or should it seek to collaborate more with industry players, such as Apple and Google?

With physical book sales in decline[58] and key questions still remaining about the firm's long-term strategy, the *New York Times* summed up the challenge:

> [Barnes & Noble CEO] Lynch must pull off a balancing act that would be tricky even in good times. He must carve out a digital future for Barnes & Noble without forsaking its hard-copy past, all while his company's profit and share price are under pressure, his customers are fleeing to the Web, and Amazon is circling.[59]

[56] Hernandez, "The Barnes & Noble/Microsoft Deal."

[57] Shira Ovide and Jeffrey A. Trachtenberg, "Microsoft Hooks Onto Nook," *Wall Street Journal*, May 2, 2012.

[58] James McQuivey, "Book business Outlook for 2012: Hard Work Ahead," Forrester, January 23, 2012.

[59] Bosman, "The Bookstore's Last Stand."

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Appendix

Adobe and Electronic Content Standards

Before 1982, software developers found it difficult to provide solutions to customers that would allow them to bridge the gap between their computers and printers. Developers of early word processing software such as WordPerfect and WordStar had to develop and include code for every possible printer with which their printers might need to interact. Further, fonts were a hit-and-miss proposition. Each printer had its own set of fonts installed, which may have varied between models and manufacturers and might not have been accessible by the various PC-side software packages available.

In 1982, Adobe Systems was founded, headed by two engineers from Xerox's Palo Alto Research Center (PARC), John Warnock and Charles Greschke, who wanted to bring to market a technology they'd developed at PARC, but that Xerox had elected not to bring to market. This technology, which they called PostScript, would bridge this divide between software and output device.

PostScript consisted of three parts: (1) a document encoder, which would encode files (e.g., word processing and desktop publishing documents) into the PostScript format; (2) a decoder, which sat on the printer and decoded the files sent over via the printer cable; and (3) a standardized set of fonts (which were sold separately to end users). Adobe's pricing decisions were noteworthy. The encoder was free to developers; it could be included in any word processing or desktop publishing package without Adobe receiving any compensation. Software companies were free to use it as they pleased. The decoder, however, was sold to printer manufacturers on a royalty basis; Adobe made money with every PostScript printer sold.

PostScript filled a vacuum that had existed, and its introduction sparked a revolution in content output. Software companies that adopted PostScript no longer had to expend resources on printer compatibility and could instead focus on developing product features. End users, especially those in professional publishing and graphic arts, could now create and output dynamic document layouts and select whichever font met their aesthetic requirements with confidence that their printers would be able to print them. Printer companies could develop new products secure in the knowledge that there was a large installed user base with software capable of interacting with them. The boom worked out well for Adobe as well, whose sales increased from $2.2 million in 1984 to $762 million in 1995.

Adobe's experience with PostScript led it to develop and acquire additional products such as Illustrator and Photoshop. Then, in 1993, it released a product closer to the company's 1982 roots: Acrobat. Acrobat performed a function similar to that of PostScript; it allowed a user to save a document from a number of software packages (word processing, desktop publishing, spreadsheet, etc.) into a separate format, the Portable Document Format (PDF), which could then be viewed by another user regardless of the second user having access to the software that created the document. PDF files included all the tables, charts, images, and text of the original file and, when viewed, would look onscreen as the document would look if printed out. A PDF was like a printed document without the paper.

Acrobat worked in a way similar to PostScript: there was a document encoding component that the document creator needed to use to create the PDF and a document decoding component, Acrobat Reader, which allowed the recipient to view the file. While Adobe initially charged customers for Reader, it became a free product soon after its release. Adobe continued to charge, however, for

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encryption, doing so through the sale of encrypting software (e.g., Acrobat Distiller) and, later, through per-document and subscription options available online.

Sales of Acrobat were initially disappointing. In the pre-Internet world of 1993, transferring a file from one place to another still required the use of a floppy disk that would have to be carried or mailed from one computer location to the next. Factor in that both the sender and recipient had to own copies of this new software in order for the transfer to work and it's easy to understand why initial adoption may have been slow. However, as the Internet began to take off in the late 1990s, the usefulness of a portable document, e-mailed or downloaded online, increased considerably.

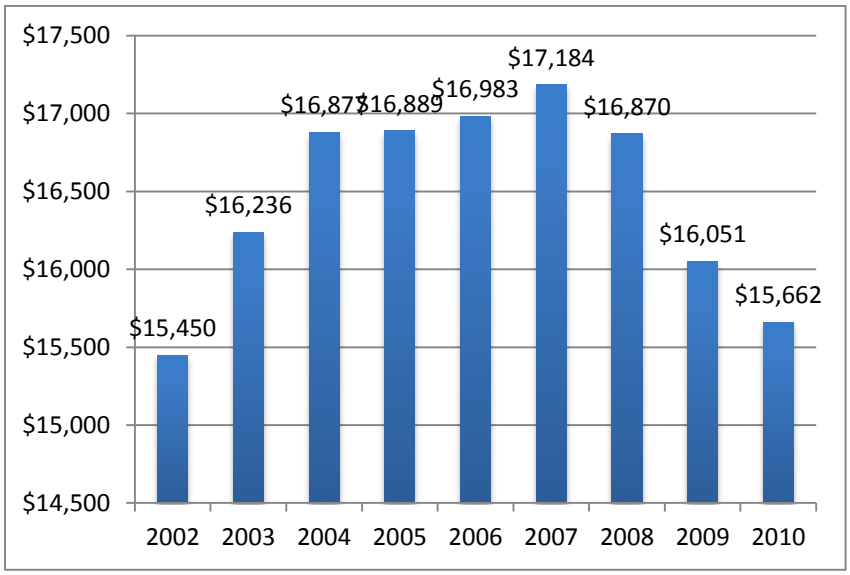
In order to capitalize, Adobe made arrangements with PC manufacturers to preload Reader onto the hard-drive images of new machines. The company also encouraged adoption through partnerships with high-traffic websites. The Internal Revenue Service (IRS), for instance, started posting PDF versions of its tax forms online in 1997. Taxpayers no longer needed to drive to the post office to pick up tax forms, but they *would* have to download Acrobat Reader to take advantage of this availability. Adobe's plans worked; as Internet adoption continued into the 2000s, PDF became the standard for many types of online documents.

Adobe's experience with PDF had other implications as well. As interest in electronic books began to rise, not only did Adobe have a ready-made potential standard available (PDF), but the company's experience in e-document format technologies and pricing put it in an excellent position to capitalize on the growth of another emerging market.

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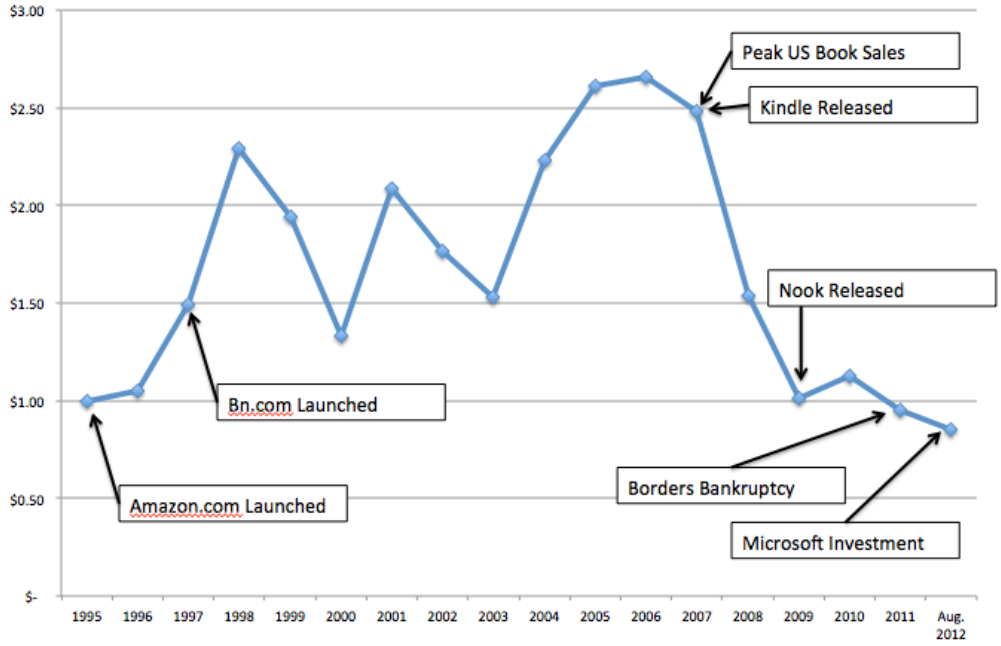
Exhibit 1 Estimated U.S. Book Sales (in $ millions)



Source: U.S. Census Bureau.

Note: Numbers include both physical and digital book sales.

Exhibit 2 Barnes & Noble Market Cap by Year (in $ billions)

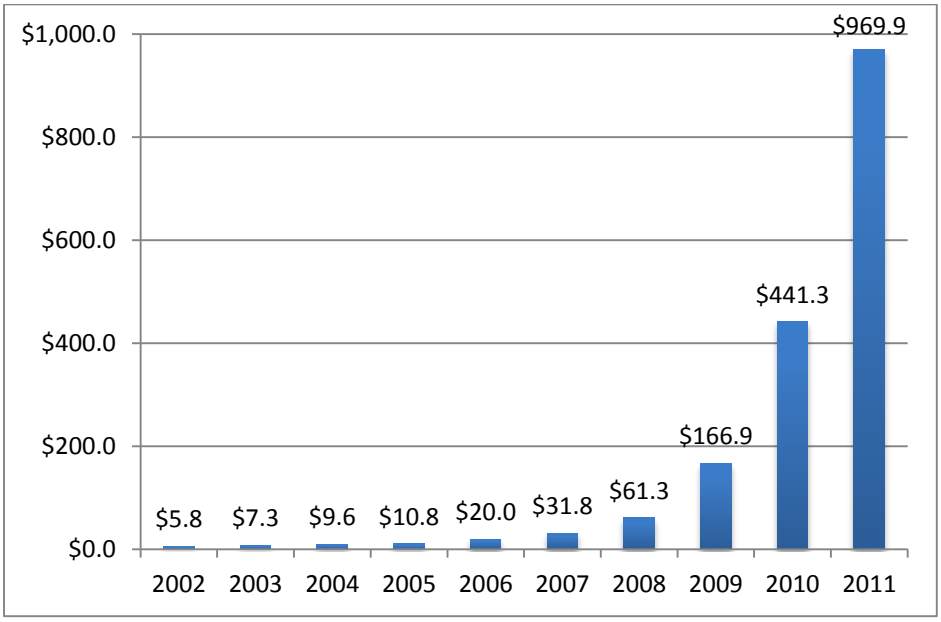


Source: Wikinvest, http://www.wikinvest.com/stock/Barnes_&_Noble_%28BKS%29/Data/Market_Capitalization/2012.

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Exhibit 3 Wholesale E-Book Revenue by Year (in $ millions)



Source: Association of American Publishers.

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Exhibit 4 E-Book Format Compatibility by Reader (as of June 2012)

	Amazon Kindle	Apple iPad	Barnes & Noble Nook	Sony Reader	Kobo Reader
Adobe ADEPT ePub			●	●	●
Apple ePub	X	●	X	X	X
Barnes & Noble ePub			●	X	X
Kindle Format	●			X	X

● = Compatible

 = Compatible via App

 = Compatible on Tablet Only via App

X = Not Compatible

Source: Adobe, http://blogs.adobe.com/digitalpublishing/supported-devices; http://www.baldurbjarnason.com/notes/the-pros-and-cons-of-iBooks-2/; *Houston Chronicle*, http://smallbusiness.chron.com/tablets-compatible-nook-books-27284.html; and Amazon, http://www.amazon.com/gp/feature.html/ref=sa_menu_karl3?ie=UTF8&docId=1000493771; all accessed December 2012.

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Exhibit 5 Consolidated Balance Sheet, Barnes & Noble

(In thousands, except per share data)	April 30, 2011	May 1, 2010
Assets		
Current assets:		
Cash and cash equivalents	$ 59,429	60,965
Receivables, net	150,294	106,576
Merchandise inventories	1,375,362	1,370,111
Prepaid expenses and other current assets	161,936	181,825
Total current assets	$ 1,747,021	1,719,477
Property and equipment:		
Land and land improvements	8,617	8,618
Buildings and leasehold improvements	1,204,108	1,212,567
Fixtures and equipment	1,670,488	1,594,048
	2,883,213	2,815,233
Less accumulated depreciation and amortization	2,178,562	2,003,199
Net property and equipment	704,651	812,034
Goodwill	524,113	528,541
Intangible assets, net	566,578	580,962
Other noncurrent assets	54,103	64,672
Total assets	$ 3,596,466	3,705,686
Liabilities and Shareholders' Equity		
Current liabilities:		
Accounts payable	$ 949,010	868,976
Accrued liabilities	785,667	755,432
Short-term note payable	—	100,000
Total current liabilities	1,734,677	1,724,408
Long-term debt	313,100	260,400
Deferred taxes	280,132	311,607
Other long-term liabilities	448,647	505,903
Shareholders' equity:		
Common stock; $.001 par value; 300,000 shares authorized; 90,465 and 88,993 shares issued, respectively	90	89
Additional paid-in capital	1,323,263	1,286,215
Accumulated other comprehensive loss	(11,630)	(13,212)
Retained earnings	562,379	681,082
Treasury stock, at cost, 33,410 and 33,285 shares, respectively	(1,054,192)	(1,052,356)
Total Barnes & Noble, Inc. Shareholders' equity	819,910	901,818
Noncontrolling interest	—	1,550
Total shareholders' equity	819,910	903,368
Commitments and contingencies	—	—
Total liabilities and shareholders' equity	$ 3,596,466	3,705,686

Source: Barnes & Noble, 10-K Annual Report, June 29, 2011.

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Exhibit 6 Consolidated Statement of Operations, Barnes & Noble

(In thousands, except per share data)	Fiscal 2011	Fiscal 2010	13 weeks ended May 2, 2009	Fiscal 2008
Sales	$6,998,565	5,807,754	1,105,152	5,121,804
Cost of sales and occupancy	5,205,712	4,131,009	773,491	3,540,596
Gross profit	1,792,853	1,676,745	331,661	1,581,208
Selling and administrative expenses	1,629,384	1,392,207	286,554	1,251,524
Depreciation and amortization	228,647	207,774	45,879	173,557
Pre-opening expenses	81	3,518	2,472	12,796
Operating profit (loss)	(65,259)	73,246	(3,244)	143,331
Interest income (expense), net and amortization of deferred financing fees	(57,350)	(28,237)	(199)	(2,344)
Earnings (loss) from continuing operations before taxes	(122,609)	45,009	(3,443)	140,987
Income taxes	(48,652)	8,365	(1,374)	55,591
Earnings (loss) from continuing operations (net of income tax)	(73,957)	36,644	(2,069)	85,396
Earnings (loss) from discontinued operations (net of income tax)	—	—	(654)	(9,506)
Net earnings (loss)	(73,957)	36,644	(2,723)	75,890
Net loss attributable to noncontrolling interests	37	32	30	30
Net earnings (loss) attributable to Barnes & Noble, Inc.	$ (73,920)	36,676	(2,693)	75,920
Earnings (loss) attributable to Barnes & Noble, Inc.				
Earnings (loss) from continuing operations	$ (73,957)	36,644	(2,069)	85,396
Less loss attributable to noncontrolling interests	37	32	30	30
Net earnings (loss) from continuing operations attributable to Barnes & Noble, Inc.	$ (73,920)	36,676	(2,039)	85,426
Basic earnings (loss) per common share				
Earnings (loss) from continuing operations attributable to Barnes & Noble, Inc.	$ (1.31)	0.64	(0.04)	1.50
Earnings (loss) from discontinued operations attributable to Barnes & Noble, Inc.	—	—	(0.01)	(0.17)
Net earnings (loss) attributable to Barnes & Noble, Inc.	$ (1.31)	0.64	(0.05)	1.33
Diluted earnings (loss) per common share				
Earnings (loss) from continuing operations attributable to Barnes & Noble, Inc.	$ (1.31)	0.63	(0.04)	1.46
Earnings (loss) from discontinued operations attributable to Barnes & Noble, Inc.	—	—	(0.01)	(0.17)
Net earnings (loss) attributable to Barnes & Noble, Inc.	$ (1.31)	0.63	(0.05)	1.29
Weighted average common shares outstanding				
Basic	56,588	55,344	54,759	55,207
Diluted	56,588	56,153	54,759	56,529

Source: Barnes & Noble, 10-K Annual Report, June 29, 2011.

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Exhibit 7 Selected Consolidated Financial Data, Amazon

	Year Ended December 31,				
	2011	2010	2009	2008	2007
	(in millions, except per share data)				
Statements of Operations:					
Net sales	$48,077	$34,204	$24,509	$19,166	$14,835
Income from operations	862	1,406	1,129	842	655
Net income	631	1,152	902	645	476
Basic earnings per share (1)	$ 1.39	$ 2.58	$ 2.08	$ 1.52	$ 1.15
Diluted earnings per share (1)	$ 1.37	$ 2.53	$ 2.04	$ 1.49	$ 1.12
Weighted average shares used in computation of earnings per share:					
Basic	453	447	433	423	413
Diluted	461	456	442	432	424
Statements of Cash Flows:					
Net cash provided by operating activities	$ 3,903	$ 3,495	$ 3,293	$ 1,697	$ 1,405
Purchases of fixed assets, including internal-use software and website development	(1,811)	(979)	(373)	(333)	(224)
Free cash flow (2)	$ 2,092	$ 2,516	$ 2,920	$ 1,364	$ 1,181

	Year Ended December 31,				
	2011	2010	2009	2008	2007
			(in millions)		
Balance Sheets:					
Total assets	$25,278	$18,797	$13,813	$ 8,314	$ 6,485
Total long-term obligations	2,625	1,561	1,192	896	1,574

(1) For further discussion of earnings per share, see Item 8 of Part II, "Financial Statements and Supplementary Data—Note 1—Description of Business and Accounting Policies."

(2) Free cash flow, a non-GAAP financial measure, is defined as net cash provided by operating activities less purchases of fixed assets, including capitalized internal-use software and website development, both of which are presented on our consolidated statements of cash flows. See Item 7 of Part II, "Management's Discussion and Analysis of Financial Condition and Results of Operations—Results of Operations—Non-GAAP Financial Measures."

Source: Amazon.com, Inc., 10-K Report, February 1, 2012.

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